



Business Studies

Business and The Government

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Lesson 3 - The Importance of Building Strong Business-Government Relationships

- Given below are the ways that the government's influence occurs on businesses in Sri Lanka.
 - Central government
 - Provincial council
 - Local authorities (Urban councils, Town councils, Municipal councils)
- Given below are a few examples on how government interferes in businesses.

➤ By providing infrastructure

Examples -:

- Central government – Providing electricity
- Provincial councils – Maintenance of roads
- Local authorities -: removing of waste

➤ By being a competitor

Examples -:

- Central government – Implementing government sector TV channels competing with private sector TV channels.
- Provincial councils – Conducting businesses competitively with private sector in each provincial council.
- Local authorities – Building up markets and renting them equally as the private sector.

➤ By being a customer

Examples -:

- Central government - Buying paddy, buying various office equipment, selling through Lak Sathosa.
- Provincial councils - Providing and receiving defense service
- Local authorities - Maintaining cemeteries

- By forming policies

Examples -:

- Central government – Implementing monetary and fiscal policy
- Provincial councils – Implementing business names charter
- Local authorities – Implementing environmental policies.

Economic Goals Pursued by Governments

❖ Economic Growth and Development

While economic development takes place through the continuous growth of the production process, in addition to that the long-term growth of human and social indices is known as development.

❖ Full Employment

Not only does everyone who wishes to provide their labor has been occupied in a service, but also, a situation where all the resources have been occupied in effective production activities in an economy.

❖ Fair Income Distribution

Distributing the total production of a country equally among all the people in that country.

❖ Economic Stability

The ability of an economy to endure nationally and internationally without a crisis is known as economic stability.

The Two Key Components of Economic Stability

- ❖ Internal Price Stability - While controlling inflation, stabilizing price level, controlling the interest rate are done through internal price stability
- ❖ External Price Stability - Stability of foreign exchange rate is done through external price stability

Favorable International Trade

- Protecting the state of balance of payment through conducting foreign trade activities satisfactorily is expected through this

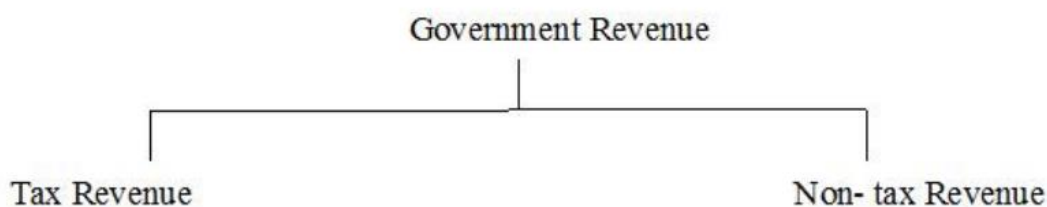
How Businesses Contribute to Achieving Government Economic Goals

- ❖ Payment of taxes
 - Paying taxes, that should be paid to the government, without evading by oneself on earned profit and income.
 - ❖ Use of indigenous resources
 - Using indigenous resources for production as much as possible
 - ❖ Following policies that the government implements
 - Implementing and following the fiscal and monetary policies that have been implemented by the government, in the correct way.
 - ❖ Following the rules and regulations
 - Contributing to build up a favorable business environment by following rules and regulations imposed for businesses in the exact way.
 - ❖ Contribution to the employment
 - Using human and all the other resources efficiently when conducting business activities effectively.
 - ❖ Minimize damage to the environment.
 - Conducting eco-friendly business activities by all the businesses.
- It is important to have a mutual relationship between the government and businesses.
 - Businesses are motivated when essential facilities are rendered by the government.
 - In the same way, through the development of businesses the goals of the government will be fulfilled. Also, because of the development of businesses, the government can receive a tax income.
 - This income can be used for the development of infrastructure and other functions. Therefore, it is important to build up a mutual relationship among the government and businesses.

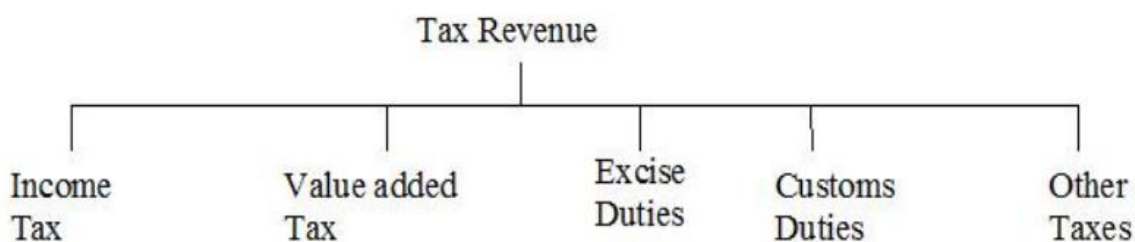
The Importance of Conducting Businesses According to the Fiscal Policy of the Government

- ❖ The functions done by the government related to its revenue and expenditure is known as Fiscal policy.
The goals of the Fiscal policy are to protect the macroeconomic stability.
- ❖ The revenue of an economy received from tax and non-tax within a financial year is known as government revenue.
- ❖ The total expenditure done within a year for recurrent and capital expenditure to fulfil the economic goals of a government are known as government expenditure.
- ❖ The budget proposal of a government reflects its Fiscal policy.

- Government revenue can be classified as follows,



- Government Tax revenue can be classified as follows,



- Tax is a must payment imposed on a person or an institute by a government or an authorized institute of a government.
 - ❖ Income tax: The tax that is imposed on the income of individuals and institutions.
Example: Corporation tax, Payee Tax

- ❖ Value added tax: The tax that is imposed on the added value of goods and services.

Example: Tax on added value on wholesale and retail sale, tax on added value on exports.

- ❖ Excise duties: The tax that is imposed on some products produced within the country.

Example: Tax on liquor products, Tax on tobacco products

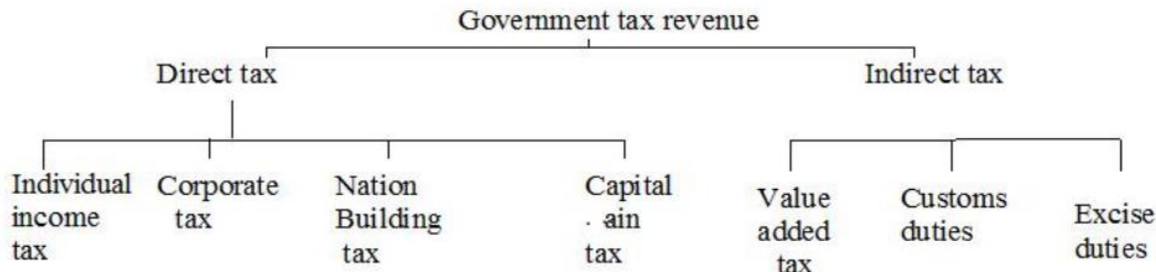
- ❖ Customs duties: The tax charged by the customs department on importing products from foreign countries.

Examples: Tax on imported motor vehicles

- ❖ Other taxes: The taxes charged by other parties apart from the above taxes.

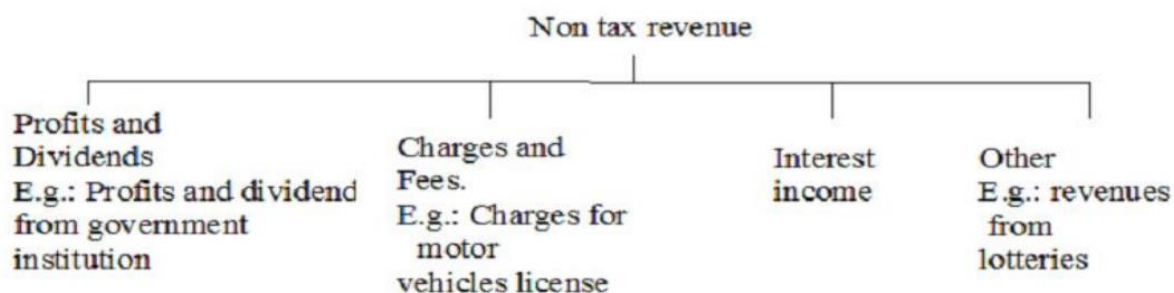
Examples: Development tax of Barbour and airport, levy of Cess, telecommunication tax.

- Tax income can be classified as direct tax and indirect tax

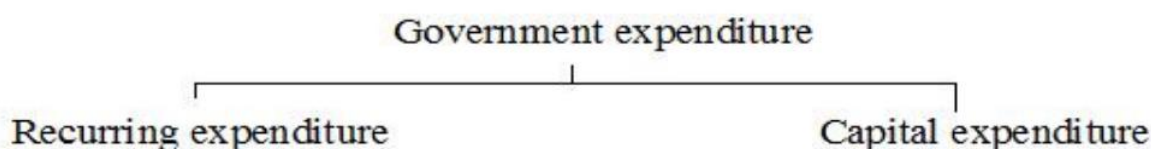


- Tax that is charged on income or assets of business and has to be paid by relevant party itself is direct tax.
- Tax that is charged on goods and services and can be transferred to another party is indirect tax.

- Non-tax revenue of the government can be shown as follows,



- Government expenditure can be classified as follows,



- Recurrent expenditure: Expenditures that are incurred again and again within a year to maintain continuous government services. These are known as current expenditure as well.

Examples: Salaries and wages, payment of interest

- Capital expenditure: Expenditure that is incurred for long term investment by the government.

Examples: Construction of main roads, Construction of bridges

(The composition of income and expenditure of a government may change based on the budget proposals)

Examples of How Government Fiscal Policy Impacts Businesses

- While imposing customs duties for imported goods, imports become limited and inland production can be improved/ inland industries can be protected.
- By imposing taxes on inland products, the prices of goods and services may be increased.
- Since a government spends on infrastructure facilities, business activities are made simple.

The importance of Conducting Businesses According to the Government Monetary Policy

- The policy that a government follows, to control the money supply of a country, is monetary policy.
- The central bank of Sri Lanka executes monetary policy on behalf of the government.
- The main aim of the government monetary policy is to maintain the stability of the price of a national economy. Otherwise, to control inflation.
- Here, it is expected to maintain the stability of the price level for a long period of time.

Key Instruments for Executing Government Monetary Policy Interest rate

- ❖ The main instrument that a government uses to control the money supply is interest rate.
- ❖ The central bank identifies this also as a standing facility rate. The standing facility rate is of three main parts.
 - Standing Deposit Facility Rate (SDFR)
 - Standing Lending Facility Rate (SLFR)
 - Bank Interest Rate

Standing Deposit Facility Rate (SDFR)

- ❖ This is the interest rate paid when commercial banks and primary dealers invest their surplus funds in government securities.

Standing Lending Facility Rate (SLFR)

- ❖ This is the interest rate charged by the central bank when commercial banks and primary dealers obtain funds by pledging government securities that they hold in central bank.

Bank Interest Rate

- ❖ This is the interest rate that the central bank, as a final loan provider, charges from commercial banks who have obtained loans for liquidity issues.

Changing Statutory Reserves Requirements (SRR)

- The amount of deposit that commercial banks must maintain in central bank relevant to the deposits they hold in them is the statutory reserve.
- Changes in this percentage result in an increase and decrease in money supply.
- A reduction in the reserve requirements will result in an increase in money supply whereas an increment in the reserve requirement will result in a decrease in money supply.

Open Market Operations (OMO)

- The buying and selling of government securities by central bank is known as open market operations.
- When the central bank buys securities the money supply increases and when it sells them the money supply decreases.

Changing the Discount Rate

- The money supply of an economy can be controlled through changing the discount rate when the parties, who have bought government securities, discount them at commercial banks before their maturity date.

Imposing credit limits

- Imposing of credit limits occurs in two ways
 - Imposition of quantitative credit limits
 - Controlling total credit by increasing and decreasing bank credits which impact on total money supply is known as imposition of quantitative credit limits.

Examples -:

- Setting minimum ratios between assets and capital of commercial banks.
- Setting the minimum money to be deposited when issuing Letters of credit.
- Imposition of qualitative credit limits

- Controlling the direction of flowing loans in an economy, in other words, motivating the flow of loans for the sections which are aimed to be motivated and limiting the flow of loans for the sections which are aimed to be demotivated is known as imposition of qualitative credit limits.

Example -:

- Recommending fields for providing loans
- Such as for agriculture industry
- Entrepreneurs etc.

Approaches for Managing Inactive Loan

- It is a direct strategy of the central bank of Sri Lanka to control the loans as a monetary policy instrument. Here, the central bank of Sri Lanka has received the authority to quantitatively and qualitatively control the sectors such as the amount of loans that the bank system provides, the repayment time of loans and the securities that should be obtained for loans.
- When controlling the amount of loans, it is done by imposing limits for a maximum amount of loans that a certain bank has been provided on a certain day or time, or by fixing growth rate of loans.
- Moreover, to encourage the amount of loans provided for prior field of the economy, fixing the least amount of loans for different production sectors or fixing maximum amount of loans on consumption loans, to limit the growth of consumption loans at an inflation period, can be done.
- The imposition of orders, such as the maximum time for repayment of loans and the nature or the value of securities that banks should obtain for those loans, can be done as well.
- At an inflationary situation, orders such as to discourage the consumption loans, to fix the shortest duration for repayment of the consumption loans and to keep securities with higher values can be done to control the inflation.
- When implementing monetary policy, it impacts businesses in various forms.

Examples: -

- When the interest rate of the central bank is reduced the interest rate of commercial banks is also reduced. Then the amount of loans that investors borrow increases, resulting in an increase in investment.
- Through which production increases and the prices of goods and services decrease. Since the price of goods and services decreases, sales of businesses increase resulting in an increase in profit.

The Importance of Businesses Adapting to Government Consumer Protection Procedures

- Consumer protection is the legal cover that ensures a customer receives sufficient satisfaction for the money he pays.
- Some reasons for the need for consumer protection now than before.
 - ❖ The abundance of goods and services in the market.
 - ❖ Since the increased competition, there is more space for malpractice in the market.
 - ❖ The market has become complex with free trade.
 - ❖ The deterioration of society and culture that can happen with globalization.
 - ❖ The need for making consumers aware to avoid environmental pollution
 - ❖ Given below are some advantages for consumers and businessmen from consumer Protection.

For the Consumer

- ❖ Getting an opportunity to consume products that give value to the paid money.
- ❖ Being protected from trade malpractices.
- ❖ Since consuming quality goods and services, consumer's health and protection are ensured.
- ❖ Because of consumer protection, legal cover can be obtained at the time necessary.
- ❖ A suitable environment is risen for consumer to live.

For the Businessman

- ❖ Having supplied quality products, the consumer's trust can be gained.
- ❖ The profit is increased through the increase turnover of businessman.
- ❖ Reduction of waste since they are produced according to standards.
- ❖ Being created a favorable business environment since there is no unfavorable anti-competitive practices.

- Few internationally accepted consumer rights are implemented at present.
 - John F. Kennedy, a former president of USA, has decelerated the following consumer rights.
 - ❖ Right to be informed
 - ❖ Right to choose
 - ❖ Right to be heard
 - ❖ Right to safety
- Apart from the above, consumer international has declared the following consumer rights.
 - ❖ Right to satisfaction of basic needs.
 - ❖ Right to consumer education
 - ❖ Right to live in a healthy environment
 - ❖ Right to redress.
- The eight consumer rights mentioned above are the internationally accepted consumer rights.
- Just like consumer rights, there are consumer responsibilities also pertaining to consumers.
 - ❖ Critical awareness
 - ❖ Active participation
 - ❖ social concern
 - ❖ Environmental awareness
 - ❖ Cooperation
- A mindful consumer attempts to select products with value for the money he pays and products with higher standards.
- Similarly, he takes steps to inform the relevant authorities when the consumer rights are broken, and business malpractice takes place.
- Moreover, he behaves as a rational consumer by protecting the environment he lives in, being concerned about society and by acting cooperatively.

The Role of Government Institutions Working for Consumer Protection

- Some government institution that works for consumer protection in Sri Lanka
 - ❖ Consumer Affairs Authority
 - ❖ Sri Lanka standards institution
 - ❖ Measurement Units, standards and services department
 - ❖ Central Environmental Authority
 - ❖ Office of the Divisional Medical Officer of Health
 - ❖ District Secretariat Office

The Consumer Affairs Authority is established to fulfill the following goals

- ❖ To protect consumers against the selling of goods or the providing of services which are hazardous to the life and property of consumers.
- ❖ To protect consumers against unfair trade practices and guarantee that consumer interest shall be given due consideration.
- ❖ To ensure that, whenever possible, consumers have adequate access to goods and services at competitive prices.
- ❖ To seek redress against unfair trade practices, restricted trade practices or any other form of exploitation of consumers by traders.

Functions of Consumer Affairs Authority are given below

- ❖ Control or eliminate restrictive trade agreements among entrepreneurs.
- ❖ Eliminate abuse of dominant position regarding domestic trade or economic development within the market or in a substantial part of the market.
- ❖ Eliminate any restraint of competition adversely affecting domestic or international trade or economic development.
- ❖ Investigate or inquire into anti-competitive practices and abuse of a dominant position.
- ❖ Maintain and promote effective competition between persons supplying goods and services
- ❖ Promote and protect the rights and relationships of consumers with respect to the price, availability and quality of goods and services.

Consumer Affairs Authority is important for businesses in the following manner

- ❖ Since production, supply, storing, transporting and selling take place according to the standards that are imposed by the authority, profit increases while the waste is being reduced.
- ❖ Consumer trust is gained by focusing on protecting consumer rights.
- ❖ The image of the institute grows since business malpractices are avoided.

- ❖ Minimization of legal situations that businessman must face.
- ❖ Minimization of unwanted competition among businesses.
- ❖ Ability to compete fairly since no monopoly conditions are created.

The Aims of Sri Lanka Standard Institution

- ❖ Prepare standards on the national and international basis in relation to production process and processing.
- ❖ Promote standardization and quality control in industry and commerce and establish and maintain laboratories and library services for that purpose.
- ❖ Examine whether the locally produced and imported goods comply with the standards.
- ❖ Provide research facilities for the activities of standardization and quality control.
- ❖ Implement a certification marks scheme.
- ❖ Provide for co-operation with international standards institutions and other similar organizations.

Functions of Sri Lanka Standards Institution

- ❖ Formulates standards
- ❖ Implements standards
 - Voluntarily
 - SLS certification system
 - Pre export investigation
 - Import investigation
 - Examination of sea food prepared for export
- ❖ Implementing ISO standards
- ❖ Organizing training programs on standardization and quality control
- ❖ Promoting standardization and quality control activities
- ❖ Numeration services for equipment
- ❖ Popularizing consumer education
- ❖ Library services, sale of local and foreign standards and information services
- ❖ Implementing international standards on quality system

The Importance of the Sri Lanka Standards Institution for Businesses

- ❖ Ability to face competition through selling products with SLS mark.
 - ❖ Ability to acquire advantages by overtaking production companies that do not possess SLS mark.
 - ❖ Ability to minimize customer complaints.
 - ❖ Ability to expand market share since government come forward to buy products that are with SLS mark.
 - ❖ Ability to succeed in international trade through obtaining ISO certification.
 - ❖ The acceptable level of product increases since consumer needs and legal need are included in standards.
 - ❖ Increasing productivity while minimizing waste.
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- By improving the image of the company, the morale of employees also improves.